

1 ENGROSSED SENATE AMENDMENT
TO
2 ENGROSSED HOUSE
BILL NO. 3781 By: Adams and Gise of the House
3
and
4
Reinhardt of the Senate
5
6
7
8 [insurance - Property and Casualty Competitive Loss
9 Cost Rating Act - purpose - ratemaking standards -
10 discrimination - rate administration - rate ***
11 reinsurance pool - residual market activities -
12 written order - repealer - effective date]
13
14 AUTHOR: Add the following House Coauthor: Tedford
15 AUTHOR: Add the following Senate Coauthor: Kirt
16 AMENDMENT NO. 1. Page 1, strike the stricken title, enacting clause
17 and entire bill and insert
18 "An Act relating to insurance; amending 36 O.S. 2021,
19 Sections 985, 987, and 989, which relate to the
20 Property and Casualty Competitive Loss Cost Rating
21 Act; removing certain prohibition on determining
22 certain rates to be competitive; allowing rate to be
23 determined excessive based on actuarial review;
24 requiring Insurance Commissioner to send certain
objection to insurer; removing certain filing
requirements; requiring certain insurer to file
certain information within certain time period;
providing certain requirements for certain filings to
become effective; requiring certain insurer to file
certain information if certain filing requires

1 certain supervision; allowing certain insurer to
2 request certain hearing; requiring Commissioner to
3 publish notice of certain rate increase on Insurance
4 Department website; allowing certain rate to be
5 determined to be excessive; removing certain
6 provisions allowing Commissioner to disapprove
7 certain rate only in certain situations; allowing
8 Commissioner to disapprove certain rates with certain
9 notice and opportunity for hearing; allowing
10 Commissioner to issue certain order after certain
11 rate goes into effect; removing certain requirements
12 that certain order not affect certain contract or
13 policy; removing certain provision allowing
14 Commissioner to issue certain order in certain
15 competitive market; updating statutory language;
16 updating statutory reference; and providing an
17 effective date.

18
19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. AMENDATORY 36 O.S. 2021, Section 985, is
21 amended to read as follows:

22 Section 985. ~~Rate-making Standards.~~

23 A. A rate may not be excessive, inadequate or unfairly
24 discriminatory.

25 1. ~~No rate in a competitive market may be determined to be~~
26 ~~excessive.~~ A rate in a noncompetitive market may be determined to
27 be excessive if ~~it~~, based on actuarial review, the rate is likely to
28 produce a profit that is unreasonably high for the insurance
29 provided. The Insurance Commissioner shall send an objection to the
30 insurer and shall give the insurer the opportunity to respond and
31 provide additional supporting information prior to making a final
32 determination that the rate is excessive.

1 2. A rate may not be determined to be inadequate unless:

2 a. the rate is clearly insufficient to sustain projected
3 losses, expenses and special assessments, and

4 b. the rate is unreasonably low and use of the rate by
5 the insurer has tended or, if continued, will tend to
6 create a monopoly in the market.

7 3. Unfair discrimination may be determined to exist if, after
8 allowing for practical limitations, price differentials fail to
9 reflect equitably the differences in expected losses and expenses.

10 A rate may not be determined to be unfairly discriminatory because
11 different premiums result for policyholders with like loss exposures
12 but different expense levels, or like expenses but different loss
13 exposures, or if it averaged broadly among persons insured within a
14 group, franchise or blanket policy or a mass-marketed plan. No rate
15 in a competitive market shall be considered unfairly discriminatory
16 unless it classifies risk on the basis of race, color, creed, ~~or~~
17 national origin, or religion.

18 B. In determining whether rates in a noncompetitive market are
19 excessive, inadequate, or unfairly discriminatory, due consideration
20 may be given to:

21 1. Past and prospective loss experience within and outside this
22 state, in accordance with accepted actuarial principles;

23 2. Conflagration and catastrophe hazards;
24

1 3. A reasonable margin for underwriting profit and
2 contingencies;

3 4. Loadings for leveling premium rates over time for dividends,
4 savings or unabsorbed premium deposits allowed or returned by
5 insurers to their policyholders, members or subscribers;

6 5. Past and prospective expenses both countrywide and those
7 specially applicable to this state; and

8 6. Provisions for special assessments; and to all other
9 relevant factors including judgment within and outside this state.

10 C. Risks may be grouped by classifications for the
11 establishment of rates and minimum premiums. Classification rates
12 may be modified to produce rates for individual risks in accordance
13 with rating plans which establish standards for measuring variations
14 in hazards or expense provisions, or both. Such standards may
15 measure any differences among risks that can be demonstrated to have
16 a probable effect upon losses or expenses. No risk classification,
17 however, may be based on race, color, creed, national origin, or the
18 religion of the insured.

19 D. The expense provisions included in the rates for use by an
20 insurer or group of insurers may differ from those of any other
21 insurer or group of insurers to reflect the requirements of the
22 operating methods of the insurer or group of insurers.

23 E. The rates may contain provision for contingencies and an
24 allowance permitting a reasonable profit. In determining the

1 reasonableness of the profit, consideration shall be given to the
2 investment income attributable to the line of insurance.

3 F. Risks may be classified in any way except that no risk may
4 be classified on the basis of race, color, creed, ~~or~~ national
5 origin, or religion of the insured.

6 SECTION 2. AMENDATORY 36 O.S. 2021, Section 987, is
7 amended to read as follows:

8 Section 987. ~~Rate Filings.~~

9 A. In a competitive market, every insurer shall file with the
10 Insurance Commissioner all rates and, supplementary rate information
11 ~~to be used in this state no later than thirty (30) days after the~~
12 ~~effective date; provided, that the rates and supplementary rate~~
13 ~~information need not be filed for commercial risks, which by general~~
14 ~~custom are not written according to manual rules or rating plans.~~

15 ~~B. In a noncompetitive market, every insurer shall file with~~
16 ~~the Commissioner all rates, supplementary rate information and~~
17 ~~supporting information at least thirty (30) days before the proposed~~
18 ~~effective date. The Commissioner may give written notice, within~~
19 ~~thirty (30) days of receipt of the filing, that the Commissioner~~
20 ~~needs additional time, not to exceed thirty (30) days from the date~~
21 ~~of the notice to consider the filing. Upon written application of~~
22 ~~the insurer, the Commissioner may authorize rates to be effective~~
23 ~~before the expiration of the waiting period or an extension thereof.~~
24 ~~A filing shall be deemed to meet the requirements of the Property~~

1 ~~and Casualty Competitive Loss Cost Rating Act and to become~~
2 ~~effective unless disapproved pursuant to this title by the~~
3 ~~Commissioner before the expiration of the waiting period or an~~
4 ~~extension thereof.~~

5 ~~In a nonecompetitive market, the filing shall be deemed in~~
6 ~~compliance with the filing provision of this section unless the~~
7 ~~Commissioner informs the insurer within ten (10) days after receipt~~
8 ~~of the filings as to what supplementary rate information or~~
9 ~~supporting information is required to complete the filing.~~

10 ~~C. Every authorized insurer shall file with the Commissioner,~~
11 ~~except as to rates for those lines of insurance exempted from the~~
12 ~~provisions of the Property and Casualty Competitive Loss Cost Rating~~
13 ~~Act by the Commissioner under subsections E and F of this section~~
14 ~~and except for those risks designated as special risks under Section~~
15 ~~997 of this title, all rates, supplementary rate information and any~~
16 ~~changes and amendments which it proposes to use. An insurer may~~
17 ~~file its rates by either filing its final rates or by filing a~~
18 ~~multiplier and, if applicable, an expense constant adjustment to be~~
19 ~~applied to prospective loss costs that have been filed by an~~
20 ~~advisory organization as permitted by this title. Such loss cost~~
21 ~~multiplier filing and expense constant filings made by insurers~~
22 ~~shall remain in effect until amended or withdrawn by the insurer.~~
23 ~~Every filing shall state the effective date.~~

1 ~~D. Under rules as may be adopted, the Commissioner may, by~~
2 ~~written order, suspend or modify the requirement of filing as to any~~
3 ~~kind of insurance, subdivision or combination thereof, or as to~~
4 ~~classes of risks.~~

5 ~~E. Notwithstanding any other provision of the Property and~~
6 ~~Casualty Competitive Loss Cost Rating Act, upon the written consent~~
7 ~~of the insured in a separate written document, a rate in excess of~~
8 ~~that determined in accordance with the other provisions of the~~
9 ~~Property and Casualty Competitive Loss Cost Rating Act may be used~~
10 ~~on a specific risk.~~

11 ~~F. A filing and any supporting information required to be filed~~
12 ~~shall be open to public inspection once the filing becomes effective~~
13 ~~except information marked confidential, trade secret, or proprietary~~
14 ~~by the insurer or filer and except the filings of an advisory~~
15 ~~organization which shall be open to public inspection upon the~~
16 ~~received date of the rate, loss cost, or manual rule change. The~~
17 ~~insurer or filer shall have the burden of asserting to the~~
18 ~~Commissioner that a filing and supporting information are~~
19 ~~confidential, upon the request of the Commissioner. The~~
20 ~~Commissioner may disapprove of the insurer's request for~~
21 ~~confidential filing status, and supporting information for the rates~~
22 ~~and for the risks that are to be written in this state, and any~~
23 ~~additional information or documentation requested by the~~
24 ~~Commissioner specific to this state. All rates, supplementary~~

1 information, and supporting information shall be filed thirty (30)
2 days prior to the effective date of such rates. A filing shall be
3 deemed to meet the requirements of this act and may become
4 effective:

5 1. Upon the expiration of the waiting period unless objected to
6 or disapproved by the Commissioner; or

7 2. Prior to expiration of the waiting period, upon application
8 by the insurer that has been approved by the Commissioner.

9 B. In a competitive market, if the Commissioner determines,
10 after a notice or by agreement, that an insurer's rates require
11 closer supervision, the insurer shall file with the Commissioner all
12 rates, supplementary information, and supporting information
13 prescribed by the Commissioner at least sixty (60) days prior to the
14 effective date of such rates. The insurer may request a hearing
15 before the Commissioner or an independent hearing examiner to
16 determine the reasonableness of the Commissioner's action by written
17 request upon the Commissioner within thirty (30) days of the notice
18 of the Commissioner requiring closer supervision of such insurer.

19 C. In a noncompetitive market, every insurer shall file with
20 the Commissioner all rates, supplementary information, and
21 supporting information for the rates and for the risks that are to
22 be written in this state, and any additional information or
23 documentation requested by the Commissioner specific to this state
24 for such market. All rates, supplementary information, and

1 supporting information shall be filed at least sixty (60) days prior
2 to the effective date of such rates. A filing shall be deemed to
3 meet the requirements of this act and may become effective:

4 1. Upon the expiration of the waiting period unless disapproved
5 by the Commissioner; or

6 2. Prior to expiration of the waiting period, upon application
7 by the insurer that has been approved by the Commissioner.

8 D. If a private passenger automobile, homeowner's multi-peril,
9 or dwelling fire policy's overall rate is increased pursuant to the
10 provisions of this section, the Commissioner shall publish notice of
11 such rate increase and overall percentage of such rate increase on
12 the Insurance Department's website.

13 SECTION 3. AMENDATORY 36 O.S. 2021, Section 989, is
14 amended to read as follows:

15 Section 989. ~~Improper Rates; Disapproval; Hearing.~~

16 A. ~~Basis for disapproval.~~

17 ~~1. The Insurance Commissioner shall disapprove a rate in a~~
18 ~~competitive market only if the Commissioner finds, pursuant to~~
19 ~~subsection B of this section, that the rate is excessive,~~
20 ~~inadequate, or unfairly discriminatory pursuant to Section 985 of~~
21 ~~this title.~~

22 ~~2. The Commissioner may disapprove a rate for use in a~~
23 ~~noncompetitive market only if the Commissioner finds, pursuant to~~
24

1 ~~subsection B of this section, that the rate is excessive, inadequate~~
2 ~~or unfairly discriminatory under this subsection.~~

3 B. ~~Procedures for disapproval.~~

4 1. Prior to the expiration of a waiting period ~~or an extension~~
5 ~~thereof, made pursuant to subsection B of~~ Section 987 of this title,
6 the Commissioner may disapprove, by written order, rates filed
7 pursuant to ~~subsection B of~~ Section 987 of this title with notice
8 and opportunity for a hearing. The order shall specify in what
9 respects the filing fails to meet the requirements of ~~this act~~ the
10 Property and Casualty Competitive Loss Cost Rating Act. Any insurer
11 whose rates are disapproved pursuant to this section shall be given
12 a hearing upon written request made within thirty (30) days of
13 disapproval.

14 2. If, at any time after the rate goes into effect, the
15 Commissioner finds that a rate applicable to insurance ~~sold in a~~
16 ~~noncompetitive market~~ does not comply with the standards set forth
17 in Section 985 of this title, the Commissioner may, after a hearing
18 held upon not less than twenty (20) days' written notice, issue an
19 order pursuant to subsection C of this section, disapproving such
20 rate. The hearing notice shall be sent to every insurer and
21 advisory organization that adopted the rate and shall specify the
22 matters to be considered at the hearing. ~~The disapproval order~~
23 ~~shall not affect any contract or policy made or issued prior to the~~
24 ~~effective date set forth in the order.~~

1 ~~3. If, at any time, the Commissioner finds that a rate~~
2 ~~applicable to insurance sold in a competitive market is inadequate~~
3 ~~or unfairly discriminatory under paragraph 2 or 3 of subsection A of~~
4 ~~Section 985 of this title, the Commissioner may issue an order~~
5 ~~pursuant to subsection C of this section disapproving the rate. The~~
6 ~~order shall not affect any contract or policy made or issued prior~~
7 ~~to the effective date set forth in the order.~~

8 C. ~~Order of disapproval.~~

9 If the Commissioner disapproves a rate pursuant to subsection B
10 of this section, the Commissioner shall issue an order within thirty
11 (30) days of the close of the hearing specifying in what respects
12 the rate fails to meet the requirements of ~~this act~~ the Property and
13 Casualty Competitive Loss Cost Rating Act. The order shall state an
14 effective date no sooner than thirty (30) business days after the
15 date of the order when the use of the rate shall be discontinued.
16 This order shall not affect any policy made before the effective
17 date of the order.

18 D. ~~Appeal of orders and establishment of reserves.~~

19 If an order of disapproval is appealed pursuant to Section 990
20 of this title, the insurer may implement the disapproved rate upon
21 notification to the court, in which case any excess of the
22 disapproved rate over a rate previously in effect shall be placed in
23 a reserve established by the insurer. The court shall have control
24 over the disbursement of funds from such reserve. The funds shall

1 be distributed as determined by the court in its final order except
2 that de ~~minus~~ minimis refunds to policyholders shall not be
3 required.

4 E. All determinations made by the Commissioner under this
5 section shall be on the basis of findings of fact and conclusions of
6 law.

7 SECTION 4. This act shall become effective July 1, 2027."

8 Passed the Senate the 4th day of May, 2026.

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Presiding Officer of the Senate

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12 Passed the House of Representatives the ____ day of _____,
13 2026.

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Presiding Officer of the House
of Representatives

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1 ENGROSSED HOUSE
2 BILL NO. 3781

By: Adams and Gise of the House
and
Reinhardt of the Senate

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6 [insurance - Property and Casualty Competitive Loss
7 Cost Rating Act - purpose - ratemaking standards -
8 discrimination - rate administration - rate filings
9 - disapproval - notice and opportunity for hearing
10 - advisory organizations - filing requirements -
11 Commissioner - joint underwriting - joint
12 reinsurance pool - residual market activities -
13 written order - repealer - effective date]
14
15
16

17 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

18 SECTION 5. AMENDATORY 36 O.S. 2021, Section 981, is
19 amended to read as follows:

20 Section 981. Short Title and Purposes of Act.

21 A. Sections 981 through 998 of this title and Sections 22, 23
22 and 24 of this act shall constitute a part of the Oklahoma Insurance
23 Code and shall be known and may be cited as the "Property and
24 Casualty Competitive Loss Cost Rating Act".

1 B. The purposes of the Property and Casualty Competitive Loss
2 Cost Rating Act are:

3 1. To promote price competition among insurers so as to provide
4 rates that are responsive to competitive market conditions;

5 2. To protect policyholders and the public against the adverse
6 effects of excessive, inadequate or unfairly discriminatory rates;

7 3. To prohibit unlawful price-fixing agreements and other
8 anticompetitive behavior by insurers;

9 4. To provide regulatory procedures for the maintenance of
10 appropriate data reporting systems;

11 5. To provide regulatory controls ~~in the absence of a~~
12 ~~competitive marketplace~~; and

13 6. To authorize essential cooperative action among insurers in
14 the ratemaking process and to regulate such activity to prevent
15 practices that substantially lessen competition or create a
16 monopoly.

17 SECTION 6. AMENDATORY 36 O.S. 2021, Section 982, is
18 amended to read as follows:

19 Section 982. Definitions.

20 As used in the Property and Casualty Competitive Loss Cost
21 Rating Act:

22 1. "Accepted actuarial standards" means the standards adopted
23 by the Casualty Actuarial Society Statement of Principles regarding
24

1 property and casualty ratemaking or the Standards of Practice
2 adopted by the Actuarial Standards Board;

3 2. "Advisory organization" means any corporation,
4 unincorporated association, partnership or person, whether located
5 inside or outside this state, that is licensed in accordance with
6 Section 1140 of this title and which assists insurers in ratemaking-
7 related activities such as enumerated in Section 1142 of this title;

8 3. "Classification system" or "classification" means the
9 process of grouping risks with similar risk characteristics so that
10 differences in costs may be recognized;

11 4. "Commercial risk" means any kind of risk that is not a
12 personal risk;

13 5. "Commissioner" means the Commissioner of Insurance of this
14 state;

15 6. ~~"Competitive market" means a market which has not been found~~
16 ~~to be noncompetitive pursuant to Section 984 of this title;~~

17 ~~7.~~ "Developed losses" means losses, including loss adjustment
18 expenses, adjusted using accepted actuarial standards, to eliminate
19 the effect of differences between current payment or reserve
20 estimates and those which are anticipated to provide actual ultimate
21 loss, including loss adjustment expense payments;

22 ~~8.~~ 7. "Expenses" means that portion of a rate attributable to
23 acquisition, field supervision, collection expenses, general
24 expenses, taxes, licenses and fees;

1 ~~9.~~ 8. "Experience rating" means a rating procedure utilizing
2 past insurance experience of the individual policyholder to forecast
3 future losses by measuring the policyholder's loss experience
4 against the loss experience of policyholders in the same
5 classification to produce a prospective premium credit, debit or
6 unity modification;

7 ~~10.~~ 9. "Joint underwriting" means a voluntary arrangement
8 established to provide insurance coverage for a risk pursuant to
9 which two or more insurers jointly contract with the insured at a
10 price and under policy terms agreed upon between the insurers;

11 ~~11.~~ 10. "Loss adjustment expense" means the expenses incurred
12 by the insurer in the course of settling claims;

13 ~~12.~~ 11. "Market" means the statewide interaction between buyers
14 and sellers of identical or readily substitutable products that
15 provide insurance protection of identifiable perils to buyers;

16 ~~13.~~ 12. "Mass marketed plan" means a method of selling
17 property-liability insurance wherein the insurance is offered to
18 employees of particular employers or to members of particular
19 associations or organizations or to persons grouped in other ways,
20 and the employer or association or other organization has agreed to,
21 or otherwise affiliated itself with, the sale of such insurance to
22 its employees or members;

1 ~~14. "Noncompetitive market" means a market for which there is a~~
2 ~~ruling in effect pursuant to Section 984 of this title that a~~
3 ~~reasonable degree of competition does not exist;~~

4 ~~15.~~ 13. "Personal risk" means homeowners, tenants, private
5 passenger nonfleet automobiles, manufactured homes and other
6 property and casualty insurance for personal, family or household
7 needs, including any property and casualty insurance that is
8 otherwise intended for noncommercial coverage;

9 ~~16.~~ 14. "Pool" means a voluntary arrangement, established on an
10 ongoing basis, pursuant to which two or more insurers participate in
11 the sharing of risks on a predetermined basis. The pool may operate
12 through an association, syndicate or other pooling agreement;

13 ~~17.~~ 15. "Prospective loss costs" means historical aggregate
14 losses and may include loss adjustment expenses, including all
15 assessments that are loss based, projected through development to
16 their ultimate value and through trending to a future point in time;

17 ~~18.~~ 16. "Pure premium rate" means that portion of the rate
18 which represents the loss costs per unit of exposure including loss
19 adjustment expense;

20 ~~19.~~ 17. "Rate" or "rates" means that cost of insurance per
21 exposure unit whether expressed as a single number or as a
22 prospective loss cost with an adjustment to account for the
23 treatment of expenses, profit, and individual insurer variation in
24 loss experience, prior to any application of individual risk

1 variations based on loss or expense considerations, and does not
2 include minimum premium;

3 ~~20.~~ 18. "Residual market mechanism" means an arrangement,
4 either voluntary or mandated by law, involving participation by
5 insurers in the equitable apportionment among them of insurance
6 which may be afforded applicants who are unable to obtain insurance
7 through ordinary methods;

8 ~~21.~~ 19. "Special assessments" means guaranty fund assessments,
9 Special Indemnity Fund assessments, Vocational Rehabilitation Fund
10 assessments, and other similar assessments. Special assessments
11 shall not be considered as either expenses or losses;

12 ~~22.~~ 20. "Statistical plan" means the plan, system or
13 arrangement used in collecting data;

14 ~~23.~~ 21. "Supplementary rating information" means any manual or
15 plan of rates, classification, rating schedule, minimum premium,
16 policy fee rating rule and any other information needed to determine
17 the applicable premium in effect or to be in effect. This includes,
18 rating plans, territory codes and descriptions and rules which
19 include factors or relativities such as increased limits factors,
20 deductible discounts or relativities, classification relativities or
21 similar factors used to determine the rate in effect or to be in
22 effect;

23 ~~24.~~ 22. "Supporting information" means the experience and
24 judgment of the filer and the experience or data of other insurers

1 or advisory organizations relied upon by the filer, the
2 interpretation of any other data relied upon by the filer,
3 descriptions of methods used in making the rates and any other
4 information required by the Commissioner to be filed; and

5 ~~25.~~ 23. "Trending" means any procedure for projecting losses to
6 the average date of loss, or premiums or exposures to the average
7 date of writing, for the period during which the policies are to be
8 effective.

9 SECTION 7. AMENDATORY 36 O.S. 2021, Section 985, is
10 amended to read as follows:

11 Section 985. Ratemaking Standards.

12 A. A rate may not be excessive, inadequate or unfairly
13 discriminatory.

14 1. ~~No rate in a competitive market may be determined to be~~
15 ~~excessive. A rate in a noncompetitive market may be determined to~~
16 ~~be excessive if it is likely to produce a profit that is~~
17 ~~unreasonably high for the insurance provided~~ A rate may be
18 determined to be excessive if it is unreasonably high for the
19 insurance provided or is unreasonably high in relation to the
20 services rendered.

21 2. A rate may not be determined to be inadequate unless:

22 a. the rate is clearly insufficient to sustain projected
23 losses, expenses and special assessments, and
24

1 b. the rate is unreasonably low and use of the rate by
2 the insurer has tended or, if continued, will tend to
3 create a monopoly in the market.

4 3. Unfair discrimination may be determined to exist if, after
5 allowing for practical limitations, price differentials fail to
6 reflect equitably the differences in expected losses and expenses.
7 A rate may not be determined to be unfairly discriminatory because
8 different premiums result for policyholders with like loss exposures
9 but different expense levels, or like expenses but different loss
10 exposures, or if it averaged broadly among persons insured within a
11 group, franchise or blanket policy or a mass-marketed plan. No rate
12 ~~in a competitive market~~ shall be considered unfairly discriminatory
13 unless it classifies risk on the basis of race, color, creed, ~~or~~
14 national origin, or religion.

15 B. In determining whether rates ~~in a noncompetitive market~~ are
16 excessive, inadequate, or unfairly discriminatory, due consideration
17 may be given to:

- 18 1. Past and prospective loss experience within and outside this
19 state, in accordance with accepted actuarial principles;
20 2. Conflagration and catastrophe hazards;
21 3. A reasonable margin for underwriting profit and
22 contingencies;

1 4. Loadings for leveling premium rates over time for dividends,
2 savings or unabsorbed premium deposits allowed or returned by
3 insurers to their policyholders, members or subscribers;

4 5. Past and prospective expenses both countrywide and those
5 specially applicable to this state; and

6 6. Provisions for special assessments; and to all other
7 relevant factors including judgment within and outside this state.

8 C. Risks may be grouped by classifications for the
9 establishment of rates and minimum premiums. Classification rates
10 may be modified to produce rates for individual risks in accordance
11 with rating plans which establish standards for measuring variations
12 in hazards or expense provisions, or both. Such standards may
13 measure any differences among risks that can be demonstrated to have
14 a probable effect upon losses or expenses. No risk classification
15 however, may be based on race, creed, national origin, or the
16 religion of the insured.

17 D. The expense provisions included in the rates for use by an
18 insurer or group of insurers may differ from those of any other
19 insurer or group of insurers to reflect the requirements of the
20 operating methods of the insurer or group of insurers.

21 E. The rates may contain provision for contingencies and an
22 allowance permitting a reasonable profit. In determining the
23 reasonableness of the profit, consideration shall be given to the
24 investment income attributable to the line of insurance.

1 F. Risks may be classified in any way except that no risk may
2 be classified on the basis of race, color, creed, ~~or~~ national
3 origin, or religion.

4 SECTION 8. AMENDATORY 36 O.S. 2021, Section 986, is
5 amended to read as follows:

6 Section 986. Rate Administration.

7 A. ~~In only those markets found to be noncompetitive pursuant to~~
8 ~~Section 984 of this title, insurers~~ Insurers and advisory
9 organizations shall file with the Commissioner and the Commissioner
10 shall review reasonable rules and plans for recording and reporting
11 their rates, loss and expense experience and other information
12 determined by the Commissioner to be necessary or appropriate for
13 the administration of the Property and Casualty Competitive Loss
14 Cost Rating Act. The Commissioner may designate one or more
15 advisory organizations or other agencies to assist in gathering such
16 experience and making compilation thereof.

17 B. Reasonable rules and plans may be promulgated by the
18 Commissioner for the exchange of data necessary for the development
19 and application of rating plans.

20 C. In order to further uniform administration of rate
21 regulatory laws, the Commissioner and every insurer and advisory
22 organization may exchange information and experience data with
23 insurance supervisory officials, insurers and advisory organizations
24

1 in other states and may consult with them with respect to the
2 application of rating systems.

3 D. Cooperation among advisory organizations or among advisory
4 organizations and insurers in ratemaking or in other matters within
5 the scope of the Property and Casualty Competitive Loss Cost Rating
6 Act is authorized. The Commissioner may review such cooperative
7 activities and practices, and if, after a hearing, any such activity
8 or practice is found to violate the provisions of the Property and
9 Casualty Competitive Loss Cost Rating Act, a written order may be
10 issued specifying that such activity or practice violates the
11 provisions of this act and requiring the discontinuance of such
12 activity.

13 SECTION 9. AMENDATORY 36 O.S. 2021, Section 987, is
14 amended to read as follows:

15 Section 987. Rate Filings.

16 A. ~~In a competitive market, every~~ Every insurer shall file with
17 the Insurance Commissioner all rates and ~~supplementary rate~~
18 ~~information~~ any additional information requested by the Insurance
19 Commissioner, to be used in this state ~~no later than thirty (30)~~
20 ~~days after~~ at least sixty (60) days prior to the effective date;
21 provided, that the rates and supplementary rate information need not
22 be filed for commercial risks, which by general custom are not
23 written according to manual rules or rating plans.

1 ~~B. In a noncompetitive market, every insurer shall file with~~
2 ~~the Commissioner all rates, supplementary rate information and~~
3 ~~supporting information at least thirty (30) days before the proposed~~
4 ~~effective date. The Commissioner may give written notice, within~~
5 ~~thirty (30) sixty (60) days of receipt of the filing, that the~~
6 ~~Commissioner needs additional time, not to exceed thirty (30) sixty~~
7 ~~(60) days from the date of the notice to consider the filing. Upon~~
8 ~~written application of the insurer, the Commissioner may authorize~~
9 ~~rates to be effective before the expiration of the waiting period or~~
10 ~~an extension thereof. A filing shall be deemed to meet the~~
11 ~~requirements of the Property and Casualty Competitive Loss Cost~~
12 ~~Rating Act and to become effective unless disapproved pursuant to~~
13 ~~this title by the Commissioner before the expiration of the waiting~~
14 ~~period or an extension thereof.~~

15 ~~In a noncompetitive market, the filing shall be deemed in~~
16 ~~compliance with the filing provision of this section unless the~~
17 ~~Commissioner informs the insurer within ten (10) days after receipt~~
18 ~~of the filings as to what supplementary rate information or~~
19 ~~supporting information is required to complete the filing.~~

20 ~~C.~~ B. Every authorized insurer shall file with the
21 Commissioner, except as to rates for those lines of insurance
22 exempted from the provisions of the Property and Casualty
23 Competitive Loss Cost Rating Act by the Commissioner under
24 subsections ~~E~~ C and ~~F~~ D of this section and except for those risks

1 designated as special risks under Section 997 of this title, all
2 rates, supplementary rate information, any additional information
3 requested by the Insurance Commissioner, and any changes and
4 amendments which it proposes to use. An insurer may file its rates
5 by either filing its final rates or by filing a multiplier and, if
6 applicable, an expense constant adjustment to be applied to
7 prospective loss costs that have been filed by an advisory
8 organization as permitted by this title. Such loss cost multiplier
9 filing and expense constant filings made by insurers shall remain in
10 effect until amended or withdrawn by the insurer. Every filing
11 shall state the effective date.

12 ~~D.~~ C. Under rules as may be adopted, the Commissioner may, by
13 written order, suspend or modify the requirement of filing as to any
14 kind of insurance, subdivision or combination thereof, or as to
15 classes of risks.

16 ~~E.~~ D. Notwithstanding any other provision of the Property and
17 Casualty Competitive Loss Cost Rating Act, upon the written consent
18 of the insured in a separate written document, a rate in excess of
19 that determined in accordance with the other provisions of the
20 Property and Casualty Competitive Loss Cost Rating Act may be used
21 on a specific risk.

22 ~~F.~~ E. A filing and any supporting information required to be
23 filed shall be open to public inspection ~~once the filing becomes~~
24 ~~effective~~ except information marked confidential, trade secret, or

1 proprietary by the insurer or filer ~~and except the filings of an~~
2 ~~advisory organization which shall be open to public inspection upon~~
3 ~~the received date of the rate, loss cost, or manual rule change.~~

4 The insurer or filer shall have the burden of asserting to the
5 Commissioner that a filing and supporting information are
6 confidential, upon the request of the Commissioner. The
7 Commissioner may disapprove of the insurer's request for
8 confidential filing status.

9 SECTION 10. AMENDATORY 36 O.S. 2021, Section 989, is
10 amended to read as follows:

11 Section 989. Improper Rates; Disapproval; Hearing.

12 A. ~~Basis for disapproval.~~

13 ~~1. The Commissioner shall disapprove a rate in a competitive~~
14 ~~market only if the Commissioner finds, pursuant to subsection B of~~
15 ~~this section, that the rate is excessive, inadequate, or unfairly~~
16 ~~discriminatory pursuant to Section 985 of this title.~~

17 ~~2. The Commissioner may disapprove a rate for use in a~~
18 ~~noncompetitive market only if the Commissioner finds, pursuant to~~
19 ~~subsection B of this section, that the rate is excessive, inadequate~~
20 ~~or unfairly discriminatory under this subsection.~~

21 B. ~~Procedures for disapproval.~~

22 1. Prior to the expiration of a waiting period or an extension
23 thereof, made pursuant to subsection B of Section 987 of this title,
24 the Commissioner may disapprove, by written order, rates filed

1 pursuant to subsection B of Section 987 of this title with notice
2 and opportunity for a hearing. The order shall specify in what
3 respects the filing fails to meet the requirements of this act. Any
4 insurer whose rates are disapproved pursuant to this section shall
5 be given a hearing upon written request made within thirty (30) days
6 of disapproval.

7 2. If, at any time after a rate is effective, the Commissioner
8 finds that a rate applicable to insurance ~~sold in a noncompetitive~~
9 ~~market~~ does not comply with the standards set forth in Section 985
10 of this title, the Commissioner may, after a hearing held upon not
11 less than twenty (20) days' written notice, issue an order ~~pursuant~~
12 ~~to subsection C of this section~~, disapproving such rate. The
13 hearing notice shall be sent to every insurer and advisory
14 organization that adopted the rate and shall specify the matters to
15 be considered at the hearing. The disapproval order shall not
16 affect any contract or policy made or issued prior to the effective
17 date set forth in the order.

18 ~~3. If, at any time, the Commissioner finds that a rate~~
19 ~~applicable to insurance sold in a competitive market is inadequate~~
20 ~~or unfairly discriminatory under paragraph 2 or 3 of subsection A of~~
21 ~~Section 985 of this title, the Commissioner may issue an order~~
22 ~~pursuant to subsection C of this section disapproving the rate. The~~
23 ~~order shall not affect any contract or policy made or issued prior~~
24 ~~to the effective date set forth in the order.~~

1 C. ~~Order of disapproval.~~

2 ~~If the Commissioner disapproves a rate pursuant to subsection B~~
3 ~~of this section, the Commissioner shall issue an order within thirty~~
4 ~~(30) days of the close of the hearing specifying in what respects~~
5 ~~the rate fails to meet the requirements of this act. The order~~
6 ~~shall state an effective date no sooner than thirty (30) business~~
7 ~~days after the date of the order when the use of the rate shall be~~
8 ~~discontinued. This order shall not affect any policy made before~~
9 ~~the effective date of the order.~~

10 ~~D. Appeal of orders and establishment of reserves.~~

11 If an order of disapproval is appealed pursuant to Section 990
12 of this title, the insurer may implement the disapproved rate upon
13 notification to the court, in which case any excess of the
14 disapproved rate over a rate previously in effect shall be placed in
15 a reserve established by the insurer. The court shall have control
16 over the disbursement of funds from such reserve. The funds shall
17 be distributed as determined by the court in its final order except
18 that de minimus refunds to policyholders shall not be required.

19 ~~E.~~ D. All determinations made by the Commissioner under this
20 section shall be on the basis of findings of fact and conclusions of
21 law.

22 SECTION 11. AMENDATORY 36 O.S. 2021, Section 994, is
23 amended to read as follows:

24 Section 994. Advisory Organizations; Filing Requirements.

1 Every advisory organization shall file with the Insurance
2 Commissioner for approval every statistical plan, all prospective
3 loss costs, provisions for special assessments ~~and~~, all
4 supplementary rating information, and any additional information
5 requested by the Insurance Commissioner, and every change or
6 amendment or modification of any of the foregoing proposed for use
7 in this state at least ~~thirty (30)~~ sixty (60) days prior to its
8 effective date. The Commissioner may give written notice, within
9 sixty (60) days of receipt of the filing, that the Commissioner
10 needs additional time, not to exceed sixty (60) days from the date
11 of the notice to consider the filing. Such filings will be deemed
12 approved unless disapproved within the waiting period.

13 SECTION 12. AMENDATORY 36 O.S. 2021, Section 995, as
14 amended by Section 1, Chapter 304, O.S.L. 2022 (36 O.S. Supp. 2025,
15 Section 995), is amended to read as follows:

16 Section 995. Joint Underwriting, Joint Reinsurance Pool and
17 Residual Market Activities.

18 A. Notwithstanding paragraph 3 of subsection A of Section 992
19 of this title, insurers participating in joint underwriting, joint
20 reinsurance pools or residual market mechanisms may in connection
21 with such activity act in cooperation with each other in the making
22 of rates, rating systems, policy forms, underwriting rules, surveys,
23 inspections and investigations, the furnishing of loss and expense
24 statistics or other information, or carrying on research. Joint

1 underwriting, joint reinsurance pools and residual market mechanisms
2 shall not be deemed an advisory organization.

3 B. Except to the extent modified by this section, joint
4 underwriting, joint reinsurance pool and residual market mechanism
5 activities are subject to the other provisions of the Property and
6 Casualty Competitive Loss Cost Rating Act.

7 C. If, after a hearing, the Insurance Commissioner finds that
8 any activity or practice of an insurer participating in joint
9 underwriting or a pool is unfair, is unreasonable, will tend to
10 lessen competition in any market or is otherwise inconsistent with
11 the provisions or purposes of the Property and Casualty Competitive
12 Loss Cost Rating Act, the Commissioner ~~may~~ shall issue a written
13 order and require the discontinuance of such activity or practice.

14 D. Every pool shall file with the Commissioner a copy of its
15 constitution, articles of incorporation, agreement or association,
16 bylaws, rules and regulations governing its activities, list of
17 members, the name and address of a resident of this state upon whom
18 notice, orders of the Commissioner, or process may be served, and
19 any changes in amendments or changes in the foregoing.

20 E. Any residual market mechanism, plan or agreement to
21 implement such a mechanism, and any changes or amendments thereto,
22 shall be submitted in writing to the Commissioner for consideration
23 and approval, together with such information as may be reasonably
24 required.

SECTION 13. REPEALER 36 O.S. 2021, Section 984, is hereby repealed.

SECTION 14. REPEALER 36 O.S. 2021, Section 985.1, is hereby repealed.

SECTION 15. This act shall become effective November 1, 2026.

Passed the House of Representatives the 26th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the ____ day of _____, 2026.

Presiding Officer of the Senate